Diamante — Last-Day APC Revision Pack

Every pre-release document in plain English · the crux of each trigger · what to be able to DO · and exactly what to revise today. Grouped by priority — spend your time top-down.

YOUR LAST-DAY BATTLE PLAN (how to spend today)

1. **Morning — master the 6 red topics below.** These are technical, high-yield and very likely: Botswana disposal, Impairment/CGU, Debt refinancing, Going concern, IFRS 2/KPIs, Revenue. Do ONE calculation for each, don't just read.
2. **Early afternoon — skim the amber topics** so you know the APPROACH (RI/EVA/FCF, Mine 2 IFRS 5, investment decision, ethics, controls). You need the structure, notdepth.
3. **Late afternoon — read the green topics ONCE** for context and vocabulary, then stop. Rest tonight.

GOLDEN THREADS — say these in almost every answer

- **Going concern & refinancing sit under everything** — losses, R2,925m current debt, conditional rights issue; connect your topic back to survival.
- **The LTI creates a manipulation incentive** — management can manage the very numbers they are paid on (profit, impairment, inventory), so apply professional scepticism.
- **One-offs distort profit** — always strip the R963m impairment and the R405m Botswana gain before judging performance.
- **USD revenue vs ZAR costs/financing** — a currency mismatch that runs through revenue, valuation and the investment decision.
- **Controllability** — only judge a manager on what they control (cost per carat, not the diamond price).

MASTER THESE — hard, technical & very likely (do a calc for each)

Botswana Mine Disposal

IFRS 5 · IFRS 10 · IFRS 9 · IFRS 13

THE CRUX / TRIGGER

An insolvent mine was sold, so derecognising R405m of net liabilities created a R405m "profit" with NO cash. The R144m is a "maybe" payment (contingent consideration) at fair value through profit or loss, valued at nil.

WHAT YOU MUST BE ABLE TO DO

- Explain WHY a disposal makes a profit (gain = consideration nil − net liabilities (405) = +405).
- Classify the R144m: financial asset, fails SPPI → FVTPL → no ECL, no interest unwind, all changes to P&L.
- Argue the IFRS 13 Level 3 nil valuation — and why nil is HARDER to defend than a positive number.
- Challenge: can the rehabilitation provision really be derecognised (IAS 37.59)? Where is the recycled FCTR (IAS 21.48)?
- Warn on FY2027: nil can only go UP → a fake profit that hits the "net profit growth" bonus KPI.

Revise now → Re-read your "Botswana Explained Simply" sheet once. Practise saying the R405m gain in one breath, then list the 5 auditor challenges (rehab provision is the strongest).

Impairment & CGU (Mine 1 & Mine 2)

IAS 36

THE CRUX / TRIGGER

Diamond prices fell → both mines impaired (Mine 1 R630m + Mine 2 R333m = R963m). The trap: the pre-release puts inventory, receivables, cash and payables INSIDE the CGU, which is wrong and under-impairs the mining PPE.

WHAT YOU MUST BE ABLE TO DO

- Calculate recoverable amount = higher of VIU and FVLCD; impairment = carrying amount − recoverable amount.
- Spot the CGU-composition error: strip out inventory (IAS 2), receivables/cash/payables (IFRS 9); keep only the rehabilitation provision (para 78).
- Allocate the loss and apply the floor (no asset below its own FVLCD/VIU/zero); reset depreciation after.
- Deferred tax: impairment releases the DTL (mining capex tax base ≈ nil) — link to the DTL falling R639m → R45m.
- Mine 1 blocks = an improvement, NOT a restructuring (IAS 36.46) → no reversal.

> **QUICK EXAMPLE FROM YOUR IAC NOTES**
>
> IAC allocation rule: recoverable amount = higher of VIU and FVLCD. Allocate a CGU loss to goodwill first, then pro-rata across other assets on carrying amounts. FLOOR — do not write any asset below the highest of its own FVLCD, its VIU, or zero; re-allocate the excess pro-rata to the rest. Journal: Dr Impairment loss / Cr Accumulated impairment. Goodwill impairment is never reversed.

Revise now → Do ONE allocation: take three PPE items, spread the loss pro-rata, then cap one at its FVLCD and re-spread the excess. That single drill covers the whole calc.

Debt Refinancing

IFRS 9 · IAS 1 · SA tax

THE CRUX / TRIGGER

The bank + shareholder loans (A & B = 54%) mature soon. The 2030 extension is conditional on a rights issue and shareholder approval, so at year-end there is NO right to defer → the loans stay CURRENT (R2,925m), which drives the going-concern issue.

WHAT YOU MUST BE ABLE TO DO

- Apply the IFRS 9 "10% test" to any loan modification (substantial → derecognise; not → adjust carrying amount).
- Nail IAS 1 classification: conditional refinancing = no unconditional right to defer → current (ignore management optimism).
- Rank the restructuring options (extend + amortise is best; convertible pref = high tax risk).
- Tax red flags: s8F (keep term ≤30 years or interest = dividend), s7C (below-market connected loan = deemed donation), s24J.
- Say the rights issue — not just signing the loans — is what fixes gearing.

> **QUICK EXAMPLE FROM YOUR IAC NOTES**
>
> 10% test: compare the PV of the NEW cash flows (discounted at the ORIGINAL effective rate) with the old carrying amount. ≥10% different = SUBSTANTIAL → derecognise the old liability, recognise a new one at fair value, difference + fees to P&L. <10% = NON-substantial → keep the liability, recompute carrying amount as PV of new flows at the original rate, adjustment straight to P&L now.

Revise now → Memorise the 10% test wording and the "conditional = current" rule. These two sentences are worth easy marks and anchor the going-concern answer.

Going Concern & FS Analysis

IAS 1 · ISA 570

THE CRUX / TRIGGER

Recurring losses, R2,340m net current-liability deficit, R2,925m debt due and a conditional refinancing = a material uncertainty. The R1,044m loss is FLATTERED — the real operating loss is R1,638m once the R405m Botswana gain is stripped out.

WHAT YOU MUST BE ABLE TO DO

- Split roles: management does the IAS 1 assessment; the auditor responds under ISA 570.
- Rank funding evidence: signed = strong; commitment letter = medium; "intention"/future approval = weak.
- Calculate the key ratios (current 0.30, D:E 3.28, interest cover −4.33) and interpret the direction.
- Quality of earnings: strip one-offs; note the R72m cash rise came from working-capital release, not trading.
- State the correct audit-report outcome (see IAC box).

> **QUICK EXAMPLE FROM YOUR IAC NOTES**
>
> ISA 570 report outcomes: (1) GC appropriate + material uncertainty ADEQUATELY disclosed → UNMODIFIED opinion + a "Material Uncertainty Related to Going Concern" section (this is Diamante — NOT a qualification). (2) Uncertainty NOT adequately disclosed → qualified/adverse. (3) GC basis inappropriate but AFS still on GC → ADVERSE. (4) Management won't assess → qualified/disclaimer.

Revise now → Learn the four outcomes cold and which one is Diamante. Practise the structure: indicators → procedures → material uncertainty? → report impact.

Incentive KPIs & IFRS 2 (Document 5)

IFRS 2 · responsibility accounting

THE CRUX / TRIGGER

The share scheme is right in principle but wrong in detail — the same 5 KPIs for everyone breaks controllability, and several targets are unachievable or manipulable (esp. KPI 2 "net profit growth ≥5%" off a loss).

WHAT YOU MUST BE ABLE TO DO

- Classify: equity-settled (a 3–5× salary link does NOT make it cash-settled); measure at grant-date FV, no remeasurement.
- Do the IFRS 2 true-up over 3 years (see IAC box); reverse if vesting conditions fail.
- Critique each KPI: appropriate / not / recommend a fix, grounded in controllability.
- Assess Lavashni's understanding per KPI (right on cost & quality; wrong on profit = shareholder value and rating = ESG).
- Recommend a tiered balanced scorecard with safety/compliance gateways.

> **QUICK EXAMPLE FROM YOUR IAC NOTES**
>
> IFRS 2 true-up (equity-settled): cumulative expense = grant-date FV × number expected to vest × (elapsed ÷ total vesting). Revise the NUMBER each year for service + non-market conditions. Example: 100 options to 500 staff, 3-yr vest, FV R20. Yr1 (80% stay): 40,000×20×1/3 = R266,667. Yr2 (85%): 42,500×20×2/3 = R566,667 cum → R300,000. Yr3 (actual 88%): 44,000×20 = R880,000 cum → R313,333.

Revise now → Run the 3-year true-up once with your own numbers. Then list each KPI as Appropriate / Not / Fix — that is the exact answer shape.

Revenue Recognition

IFRS 15

THE CRUX / TRIGGER

Management books revenue on the TENDER-AWARD date, defending only 1 of the 5 control indicators. The steer: award is likely PREMATURE — control probably passes on delivery/collection.

WHAT YOU MUST BE ABLE TO DO

- Rule out over-time first (3 criteria fail) → point in time → weigh the 5 IFRS 15.38 indicators.
- Test each date (award vs collection): right to payment, title, possession, risks & rewards, acceptance.
- Calculation: transaction price incl. financing component, variable consideration + constraint, forex at control date.
- Principal vs agent for an auction house (Diamante usually principal → gross).
- Bill-and-hold: apply the 4 B81 criteria to parcels held at 30 June.

> **QUICK EXAMPLE FROM YOUR IAC NOTES**
> IAC control examples: FOB shipping point → title & risk pass at the factory → revenue on DISPATCH. FOB destination → risk stays with seller → revenue on DELIVERY. Machine needing installation with a SUBSTANTIVE acceptance clause → control only on acceptance after installation, not on delivery. Use these to pin Diamante's date once the terms are given.

Revise now → Glance at your "Revenue Q1–Q3 Frameworks" sheet. Be ready to test all 5 indicators and conclude "premature" with reasons.

KNOW THE APPROACH — medium priority (structure over depth)

Performance Measures — RI · EVA · FCF

MAF

THE CRUX / TRIGGER

The value/cash measures to redesign the scheme. Diamante is destroying value (RI/EVA ≈ −R1.5bn); FCF is the survival measure.

WHAT YOU MUST BE ABLE TO DO

- Compute RI = NOPAT − (WACC × net investment); EVA = RI with adjustments; FCF = op cash − sustaining capex.
- Rank them for Diamante: FCF (survival) > per-mine RI > banked group EVA.
- Give pros/cons tied to Diamante (see your RI/EVA/FCF mind map).

> **QUICK EXAMPLE FROM YOUR IAC NOTES**
> Formula anchor: RI = NOPAT − (WACC × net investment). NOPAT = (profit before tax + interest) × (1 − tax). Net investment = equity + long-term debt. FCF (simple) = cash from operations − sustaining capex.

Revise now → Just re-glance the RI/EVA/FCF mind map. Know the 3 formulas and the one-line "when to use each".

Discontinued Operations — Mine 2

IFRS 5

THE CRUX / TRIGGER

What if Mine 2 is sold vs closed vs put on care-and-maintenance — three decisions, three different answers.

WHAT YOU MUST BE ABLE TO DO

- Know the split: abandoned asset can NEVER be held for sale (IFRS 5.13); care-and-maintenance stays in PPE.
- Argue "separate major line of business" (not geography — both mines are SA) using the bifurcated market.
- If sold: held-for-sale test → remeasure under other IFRSs first → lower of CA and FVLCS → cease depreciation.
- Remember the presentation asymmetry: income-statement comparatives restated, balance-sheet not.

Revise now → Memorise the sell / abandon / care-and-maintenance split — that distinction is the whole trigger.

Investment Decision — Mine 1 Blocks

Capital budgeting

THE CRUX / TRIGGER

Which of two Mine 1 blocks to fund with limited capital. Going concern/liquidity is the number-one filter.

WHAT YOU MUST BE ABLE TO DO

- NPV of relevant, incremental, after-tax flows; convert USD income at the ZAR rate; recompute WACC AFTER the refinancing.
- Under capital rationing, rank by Profitability Index (see IAC box).
- Add risk (coefficient of variation), payback (liquidity), and strategy (quality over quantity).
- Audit the geologist: independence, SAMREC competent person, Measured > Indicated > Inferred.

> **QUICK EXAMPLE FROM YOUR IAC NOTES**
> IAC capital rationing: divisible projects → rank by Profitability Index = NPV ÷ initial outlay (or PV of inflows ÷ outlay), fund down the ranking, take a fractional slice of the last. Indivisible (all-or-nothing) → the PI ranking can mislead; test the feasible combinations of whole projects that fit the budget and pick the highest total NPV.

Revise now → Know PI = PV ÷ outlay and the divisible-vs-indivisible rule. That is the likely twist under capital rationing.

Ethics & Governance (both Doc 5 + Overall)

SAICA CPC · King IV · Companies Act

THE CRUX / TRIGGER

The pervasive theme: the LTI, the refinancing narrative and the Botswana gain all create incentives for management to manage the very numbers the CA(SA) prepares.

WHAT YOU MUST BE ABLE TO DO

- Frame threats: self-interest (bonus), management bias (optimistic GC), pressure (junior CA), advocacy.
- Cite the right rules: CPC integrity/objectivity, King IV P14 (fair remuneration), Companies Act s75/s76/s22/s4, NOCLAR.
- Flag the optics: management awards while staff bonuses paused and no dividends.
- Always give a way forward (recuse conflicted directors; independent remco; corroborate with evidence).

Revise now → Learn the 5 threats + one governance rule each, and the golden move: apply professional scepticism and give a way forward. High-yield, low-effort marks.

Controls, Traceability & ESG (Document 2)

Internal controls · Kimberley Process · RJC

THE CRUX / TRIGGER

Prove diamonds came from the right mine, are recorded completely and sold fairly. Kimberley Process is the minimum (conflict-free), not full ESG.

WHAT YOU MUST BE ABLE TO DO

- Structure any control answer: risk → consequence → control → how it works → assurance layer.
- Separate external infrastructure (SADPMR, Antwerp, KP) from Diamante-operated controls.
- Blockchain/Tracr = immutable trail but NOT correct source data — fix source controls first.
- Distinguish Internal Audit (control effectiveness) from External Audit (FS assertions).

Revise now → Memorise the 5-step control template and the KP-is-only-conflict-free point. Then you can answer any control/ESG ask.

QUICK CONTEXT — read once for vocabulary & framing

Strategy Frameworks

Porter · SWOT · PESTEL · FRICTO

THE CRUX / TRIGGER

Diagnose first (Porter/SWOT/PESTEL), then evaluate a decision (FRICTO). Key insight: the industry is fine — the problem is a demand slump + execution + capital structure.

WHAT YOU MUST BE ABLE TO DO

- Use FRICTO to score a defined choice (Flexibility, Risk, Income, Control, Timing, Other) and reach a traded-off recommendation.
- Remember the tax-neutrality constraint can rule out debt-for-equity structures.

Revise now → Just remember FRICTO's six letters and "rank, don't tick". A ready structure if a strategy discussion appears.

Diamond Mining Life Cycle

Industry background

THE CRUX / TRIGGER

Background terminology only — explore → mine → process → sort → tender → cut → sell → rehabilitate.

WHAT YOU MUST BE ABLE TO DO

- Know the terms (kimberlite, grade, boart, sightholder, block caving) and the tender sales channel.
- Link rehabilitation/closure to the IAS 37 provisions and the Botswana/impairment issues.

Revise now → Skim once for vocabulary. No calculations here.

Petra Diamonds — real-world comparators

ISA 570 · IAS 10 · IAS 8

THE CRUX / TRIGGER

Real disclosures that mirror Diamante: an unmodified opinion WITH a going-concern section, a refinancing as a non-adjusting event, and prior-year restatements.

WHAT YOU MUST BE ABLE TO DO

- Use Petra's going-concern note as a template (conditions → sensitised case → mitigations → conclusion).
- Confirm the material-uncertainty section is NOT a qualification.
- Cite real market data (rough prices down ~35%, US tariffs, China, lab-grown) in a strategy answer.

Revise now → Glance once — it confirms the going-concern report outcome and gives you real numbers to quote.

Plain-English last-day summary of the Diamante pre-release research pack. Figures are illustrative from the draft pre-release. IAC examples are drawn from your own IAC study notes. Breathe — you know this. Good luck tomorrow.